Nanyang Technological University Group 4	**Macy's Inc.** NYSE
Ticker: M Sector: Consumer Cyclical Current Price: US$11.37 as of 11/04/2025	Date: 11/04/2025 Recommendation: Sell Target Price: US$6.25

Our team issues a SELL Recommendation for Macy's Inc ("Macy's) with a target price of US$6.25, a 45.0% downside from US$11.37 as of 11 April 2025. The target price was derived from Free Cash Flow to Firm (FCFF) approach with the Constant Growth Model. Our recommendation is based on a challenging macroeconomic backdrop and structural headwinds – which supports our bearish outlook on Macy's.

Company Overview

Macy's Inc (*"Macy's"*) is a leading American omni-channel retailer operating under three major banners: **Macy's** (Home Goods, Apparel, Accessories), **Bloomingdale's** (Luxury) and **Bluemercury** (Skincare & Cosmetics). Its revenue is highly seasonal, with performance closely tied to consumer sentiment during key shopping periods.

In 2024, the company launched its "Bold New Chapter" strategy – a major restructuring plan involving the closure of 150 underperforming stores, expansion of small-format stores, and investment in digital capabilities. While luxury banners show modest growth, the core Macy's nameplate continues to underperform.

Business Model & Revenue Segments

Macy's operates on an **omni-channel retail model**, combining physical stores and online platforms to create a seamless customer experience. In-store experiences support product customization and brand visibility, while digital channels offer greater convenience and accessibility.

Macy's maintains a large network of department stores across the US, selling a variety of merchandise such as clothing, home furnishings, accessories, and cosmetics. Macy's Nameplate targets mid-tier consumers, Bloomingdale's caters to the luxury segment, and Bluemercury specialises in high-end beauty and skincare. In 2022, Macy's launched its e-commerce platform **Macy's Marketplace,** which also supports their internal retail media arm, **Macy's Media Network** – offering advertising space across digital real estate.

Revenue is primarily driven by the **non-credit card retail business**, comprising of apparel, accessories, and home goods. Macy's focuses heavily on private-label merchandise - such as Macy's Home, Style & Co., and Alfani – to support margins and foster brand loyalty.

The **credit card segment** generates income from finance charges, late fees, and other card-related income, net of fraud losses and provisions. The credit card program is integrated with Macy's loyalty program, **Macy's Star Rewards**, where cardholders automatically earn points and redeem tiered benefits based on spending, thereby enabling Macy's to earn a percentage of revenue from card transactions.

SWOT Analysis	
Strengths	**Strong Brand Recognition** - With history dating back to 1858, Macy's has established itself as a household name in the US with a loyal customer base. **Omnichannel Retail Presence -** Macy's integrates in-store and online experiences, offering personalised services in real life while using data driven analytics and AI for enhanced customers' experience. **Diverse Product Offering –** Macy's offers a broad range of products, including private label brands, catering to various customers' needs
Weaknesses	**Declining Foot Traffic in Malls –** E-commerce growth, especially in the post-COVID era, has enabled consumers to shop anytime and anywhere, reducing visits to physical department stores. **High Operating Costs -** Macy's channels incur costs in retail infrastructure, inventory management, and online overhead. **Inventory & Supply Chain Challenges -** Macy's has faced issues in managing inventory and adaptability to rapid changes in consumer demand.
Opportunities	**Expansion of E-commerce -** Investment in "Macy's Media Marketplace" Macy's e-commerce platform promoting their home brand and private labels. **Store Location Optimisation -** *"Bold New Chapter"* strategy aims to streamline operations through closing underperforming stores and reinvesting in high-performing flagship and small-format stores.
Threats	**Intense Retail Competition –** Competes with comparable department stores, e-commerce, specialty and discount retailers. **Economic Uncertainties -** Vulnerable to economic downturns and sluggish consumption patterns. Macy's is also heavily reliant on foreign imports, making it highly susceptible to tariffs that further squeeze its margins.

Industry Outlook & Trends

The US Department Store industry includes large-format retailers offering various merchandise under one roof, such as home goods, apparel, and accessories. These traditional stores operate as "one-stop" shops, which are often found in high-traffic retail areas such as malls. However, the industry is currently facing significant challenges as outlined below.

1) Challenging Macroeconomic Backdrop Amplifies Structural Decline

Business and consumer sentiment declined by 9.8% in January 2025, driven by fears of tariffs and trade tensions. US inflation eased slightly – from 3.0% in January to 2.5% in March 2025, though it remains above the Fed's target of 2%. However, potential tariffs risk spiking inflation, making it harder for the Fed to control. Elevated interest rates and inflation have shifted consumers toward value-oriented purchases. While durables spending grew 12.1% in Q4 2024, momentum is expected to slow with real consumer spending forecasted to slow from 2.9% in 2025 to just 1.4% in 2026 (Deloitte, 2025). At the same time, household debt rose by US$93 billion in Q4 2024, suggesting that short-term consumption may be debt-fuelled rather than income-driven. Although anticipated rate cuts may provide temporary relief, but non-discretionary categories remain at risk. Notably, spending intention for "Clothing and Apparel" has been plunging between -20% and

-50% since 2022 while categories like "Housing & Utilities" remain resilient, highlighting a reallocation of household budgets toward core necessities.

Structurally, the industry continues to plummet, with revenue dropping to US$132.7 billion —near the lowest level since 1992. Revenue is projected to fall at a CAGR of -2.7% through 2025, with profit margins narrowing to just 3.7% (Statista, 2023). Competition, rising operating costs and declining in-foot traffic have further accelerated the industry's decline, straining key players' profitability like Macy's.

2) Falling Market Share Amid Intense Competition

The department store industry is highly fragmented, facing competition from comparable peers like Nordstorm and Kohl's, and e-commerce platforms and discount retailers. Digital-savvy younger consumers (18–24 years old) are shifting away from department stores, with market share in this group declining by 7%, driven by preferences for personalised, tech-enabled shopping experiences (Bain Company, 2024). E-commerce have also enabled brands to adopt Direct-to-Consumer (DTC) models, bypassing traditional intermediaries like Macy's. This shift reduces overhead and allows brands to offer competitive pricing, enhanced customer engagement, and better control over inventory and branding—further eroding department store relevance. Discount retailers have also captured the attention of price-sensitive shoppers through discounted prices - which poses a direct threat to traditional department stores.

3) Cost-Cutting Measures In Response to Structural Headwinds

Store closures, staff layoffs, and inventory streamlining have become common as retailers seek to reduce fixed overhead costs amidst declining in-foot traffic and sales. Though such measures may improve short-term financial health, these highlight the ongoing struggle to adapt in a fast-changing retail environment and may be insufficient to reverse long-term secular decline.

Porter's Five Forces Analysis	
Competitive Rivalry – High	Highly fragmented industry consisting of comparable peers, e-commerce and discount retailers. Aggressive price wars continue to pressure margins, making it challenging for traditional players to maintain market share.
Threat of New Entrants – Moderate	Maintaining a physical store involves significant investments in infrastructure, inventory management, advertising, and manpower. Established players benefit from strong brand recognition and economies of scale in manufacturing and distribution - creates high barriers of entry for new entrants.
Threat of Substitutes – High	E-commerce, discount or specialty retailers draw customers from department stores, due to competitive pricing, convenience, and broader product variety.
Buyers' Bargaining Power – High	Economic uncertainties (e.g. inflation, tariffs fears) have heightened consumers' price sensitivity, making them more selective with their spending. Consumers can also switch between brands with little differences in prices or product variety.

Suppliers' Bargaining Power – Low	Department stores' high purchasing volumes and control over shelf space provides high leverage, pushing down suppliers' bargaining power. Moreover, suppliers must comply to regulations set by the Federal Trade commission, further limiting their power.

Financial Analysis

Revenue & Profitability Analysis

Total Revenue for Macy's has been dropping over the past few years, with revenue growth slipping from +0.20% in 2023, to -6.22% and -3.60% in 2024 & 2025 respectively. Similarly, EBITDA has fallen 20% -30% annually since its post-COVID recovery in YA2022.

YA	2019	2020	2021	2022	2023	2024	2025
Revenue	25,739	25,331	18,097	25,399	25,449	23,866	23,006
Operating Income	1,532	1,159	-902	2,334	1,640	1,263	913

Table 1: Revenue & Operating Income in US$ mm (YA2019 – 2025)

YA	2019	2020	2021	2022	2023	2024	2025
Gross Margin	40.9%	40.1%	32.1%	41.1%	39.7%	40.4%	40.3%
Operating Margin	6.0%	4.6%	-5.0%	9.2%	6.4%	5.3%	4.0%
Net Profit Margin	4.3%	2.2%	-21.8%	5.6%	4.5%	0.2%	2.5%

Table 2: Profitability Margins (YA2019 – 2025)

This is due to gross margins remaining relatively constant between 39-41% while operating expenses (primarily SG&A) remained constant even as revenue dropped. Consequently, Macy's Net Profit Margin fell sharply to 0.2% and 2.5% in 2024 and 2025 respectively.

YA	2019	2020	2021	2022	2023	2024	2025
Current Ratio	1.42	1.18	1.15	1.25	1.20	1.34	1.43
Quick Ratio	0.42	0.28	0.45	0.44	0.33	0.38	0.44

Balance Sheet Analysis

Table 3: Liquidity Ratios (YA2019 – 2025)

Macy's liquidity ratios have improved post-COVID. Current Ratio has since recovered to 1.43 as of YA2025, above pre-pandemic levels. However, its consistently low quick ratio (<1) highlights heavy reliance on inventory assets – which poses a liquidity risk especially during recent headwinds.

YA	2019	2020	2021	2022	2023	2024	2025
D/E Ratio	1.98	2.32	5.94	3.86	3.13	3.03	2.60

Table 4: Book Value Debt-to-Equity Ratio (YA2019 – 2025)

Macy's leverage increased in YA2021 with its Book Value D/E ratio jumping from 2.32 to 5.94 due to significant borrowings made during COVID. The company has actively deleveraged, relying less on debt financing as part of the turnaround strategy, transitioning to a healthier capital structure.

YA	2019	2020	2021	2022	2023	2024	2025
ICR	6.49	6.26	-3.22	9.15	10.12	9.36	7.94
DSCR	1.11	1.37	-0.39	0.78	0.48	1.15	1.43

Table 5: Interest Coverage Ratio & Debt Service Coverage Ratio (YA2019 – 2025)

With an ICR of 7.94 to 9.15 after its recovery from the pandemic, Macy's faces no problems in repaying its interest payments. However, its DSCR, especially in YA2022 and 2023 were below 1, indicating insufficient operational earnings to repay debt obligations. That said, DSCR has since improved to 1.15 and 1.43 in YA2024 and 2025, indicating a slight cushion above required debt payments.

YA	2019	2020	2021	2022	2023	2024	2025
DSO	5.67	5.87	6.91	4.12	4.28	4.53	4.73
DPO	126.25	125.73	133.12	99.54	103.13	110.71	117.27
DIO	63.28	83.72	81.92	74.87	73.37	71.01	71.80
CCC	68.64	67.87	58.11	28.78	34.04	44.23	50.19

Table 6: Cash Conversion Cycle (YA2019 – 2025)

Macy's efficiency trending towards the same levels pre-pandemic as DSO and DIO have been increasing since their lows in YA2022 while DPO has decreased. Overall, the CCC which fell to a more efficient 29 days during the pandemic has increased back to 50 days, close to the pre-pandemic CCC of 58 days. Should Macy's efficiency ratios continue their trend, it could be an indication of operational inefficiencies, possibly due to inventory overstocking or slower sales.

Cash Flow Analysis

YA	2019	2020	2021	2022	2023	2024	2025
Operating CF	1,735.0	1,608.0	649.0	2,712.0	1,615.0	1,305.0	1,278.0
Investing CF	-456.0	-1,002.0	-325.0	-370.0	-1,169.0	-913.0	-592.0
Financing CF	-1,544.0	-1,123.0	699.0	-2,381.0	-1,296.0	-220.0	-413.0
FCF	1,078.0	706.0	311.0	2,358.0	727.0	674.0	760.0

Table 7: Cash flows generated each year in US$ mm (YA2019 – 2025)

Macy’s continues to generate positive operating and free cash flow to the firm, in-line with the company’s continued profitability. However, operating cash flows have been on a decline since YA2023 from $1.6 billion to $1.3 billion in 2025. While free cash flow has remained relatively constant, it is still a worrying sign for the business to have its core operations generating less cash, with both revenue and net income dipping each year. Should the trend continue, Macy’s ability to reinvest, pay back their debts, and return profits to shareholders in the future could be negatively impacted.

Investment Thesis

Thesis 1: Accelerating Operating Contraction Signals Structural Decline

Macy's planned closure of 150 underperforming stores by 2026 (64 already closed ahead of schedule) signals a structural decline in its traditional model despite short-term financial gains. While these closures have generated US$283 million in asset monetisation proceeds and contributed to a 71% YoY increase in free cash flow, they also pose operational and strategic risks. A reduced store footprint complicates inventory management, potentially driving up markdowns. Workforce reductions risk losing institutional knowledge, while exiting certain markets may lead to permanent customer loss if online channels fail to compensate. Financial projections remain weak: Macy’s forecasts of FY2025 net sales of only US$21-21.4 billion, with comparable sales declining by 2%, suggesting continued headwinds post-restructuring. Its balance sheet reflects these pressures, with total assets declining since 2021. Although CapEx has been cut by US$111 million to US$882 million, this may hinder efforts to revitalise remaining stores for long-term growth.

Thesis 2: Eroding Competitive Position with Limited Technology Adaption

Macy's faces severe competitive pressure that threatens its market relevance and long-term viability. The traditional department store model is being challenged from multiple directions: luxury retailers capture high-end consumers with superior service and exclusivity, while discount chains attract value-conscious shoppers with competitive pricing and convenience. Recent performance metrics highlight this vulnerability, with the core Macy's nameplate experiencing a 0.9% decline in comparable sales, despite a 3.8% improvement from the previous year. In contrast with Macy’s luxury segments, Bloomingdale's posted a 6.5% sales growth and Bluemercury reported its 16th consecutive quarter of positive sales. Digital disruption is also another theat. Macy's late entry into e-commerce allowed digital-native competitors (e.g. Amazon, Alibaba, and Shein) to dominate with better user experiences, personalized algorithmic, and efficient fulfilment – areas where Macy’s digital platforms have failed to match.

Thesis 3: Macroeconomic Headwinds Amplifying Structural Weaknesses

Macroeconomic pressures and changing consumer preferences present substantial risks to Macy's financial performance. A recent 3.8% decline in quarterly sales led to a downward revision of its annual sales forecast, reflecting both cyclical headwinds and structural shifts in shopping behavior. Category performance is uneven – most notably, the home segment struggles under elevated interest rates and fierce competition, exposing Macy’s reliance on interest rate-sensitive discretionary purchases. This vulnerability is compounded by rising credit card delinquency rates projected for 2025 threaten Macy’s co-branded card revenue (TransUnion, 2025). With Goldman Sachs forecasting a 65% probability of a US recession in the next 12 months, Macy’s may be among the hardest hit due to its reliance on discretionary spending.

Valuation

Revenue Projections: We used a bottom-up approach to forecast revenue based on store count and comparable sales growth by nameplate. Macy's is projected to contract to 350 stores by 2026 with -1.3% same-store growth, while Bloomingdale's and Bluemercury expand to 74 and 205 stores, with 2.5% and 4.0% growth respectively. Due to lack of brand-level revenue breakdowns, we used Excel's Solver to back-solve for revenue proportions consistent with the total comparable sales growth.

Cost Projections: Cost of sales is projected to decline from US$13.74B in 2025 to US$12.12B by 2020, driven by store closures and a shrinking revenue base. We assume a stable COGS margin of 61.6%, keeping gross margins flat at 38.4%. SG&A is projected to be constant at 35.85% of sales, due to Macy's high fixed-cost structure.

Working Capital Projections: Using turnover-based forecasts, current assets are projected to decline from US$5.16B in 2025 to US$4.17B by 2030 due to tighter inventory management and store closures. Current liabilities are expected to remain flat at US$3.81B to US$3.50B with unearned revenue decreasing from US$353M to US$297M. This results in sharp net operating working capital improvements through 2027, supporting near-term FCF growth before stabilizing.

Depreciation and Amortization Projections: Based on a 15-year useful life, depreciation is projected to follow a gradual path aligned with Capex, which peaks in 2027 before tapering off. As older assets roll-off, depreciation expenses decline from 2028 before plateauing by 2030.

DCF Valuation

Beta & Cost of Equity: A 10-year linear regression yielded an equity beta of 1.2. With a risk-free rate of 3.96% (US 1-Y Treasury) and market risk premium of 4.12%, we derived a cost of equity of 8.9% via CAPM, reflecting moderate equity risk.

Cost of debt: Based on Macy's latest interest-bearing liabilities of US$2.78B, we estimated pre-tax cost of debt 6.43%. Applying the marginal tax rate of 24.37% would give us an after-tax cost of debt being 4.86%.

WACC: With the Market D/E ratio of 87.7%, we computed a WACC of 7.02%.

FCFF Projections: In our Base Case, FCFF is projected to fall from US$1.38B in 2026 to US$1.01B by 2030. Discounting at WACC of 7.02% gives us the FCFF's present value at $0.98B.

Free Cash Flow (FCF)							
		2026	2027	2028	2029	2030	Term
Assumptions		31/12/2026	31/12/2027	31/12/2028	31/12/2029	31/12/2030	31/12/2030
Valuation date	4/1/2025						
Terminal Growth	2.70%						
WACC	7.02%						
FCFF							
EBIT		489	448	447	446	445	
Tax on EBIT		119	109	109	109	108	
Tax rate		24.37%	24.37%	24.37%	24.37%	24.37%	
NOPAT		370	339	338	337	337	
Depreciation and amortisation		(534)	(545)	(562)	(565)	(560)	
CAPEX		700	800	600	500	500	
Change in net working capital		842	739	695	703	736	
Free Cash Flow to Firm (FCFF)		**1,378**	**1,333**	**1,071**	**975**	**1,012**	**1,039**
Unadjusted Cash Flow							
Discrete forecast		1,378	1,333	1,071	975	1,012	
Terminal value						14,812	
Total Cash Flow		**1,378**	**1,333**	**1,071**	**975**	**15,824**	
Discounted Cash Flow							
Years for discounting		1.99	2.99	3.99	4.99	4.99	
Discrete forecast		1,378	1,333	1,071	975	1,012	
Terminal value						10,559	
Discounted Cash Flow		**1,378**	**1,333**	**1,071**	**975**	**11,571**	
Total NPV		**16,328**					

Terminal & Equity Value, Target Price: We applied the perpetuity growth method with a constant terminal growth rate of 2.7%, reflecting long-term US nominal GDP and Macy's limited real growth potential as a mature retailer. The rate sits below the WACC, ensuring a conservative valuation. Adding the PV of FCFF and terminal value, divided by 277.7 million shares outstanding yields a target share price of US$6.25.

Sensitivity analysis: In the Base case, Macy's fair value is estimated at US$6.25 per share. The Bull Case assumes stronger recovery improved margins, yields, and an upside to US$13.10, while the bear case results in a downside of US$5.25.

Relative Valuation

While Macy's may seem undervalued based on its low EV/Revenue multiples (0.34 Trailing, 0.37 Forward), the steep discount on EV/Revenue reflects investor concern about weak revenue quality, stagnant growth, and store underperformance. Its bloated physical footprint and falling foot traffic further limit top-line growth. More critically, Macy's EV/ EBIT – impacted by restructuring, write-offs, and one-off charges – highlights underlying operational weaknesses. Macy's high Forward P/E (10.64) reflects fragile earnings, with margin pressure and declining store performance - raising multiple red flags.

Multiple	Trailing	Median Trailing	Forward	Median Forward
EV/REVENUE	0.34x	0.60x	0.37x	0.64x
EV/EBIT	9.02x	11.6x	16.21x	10.36x
P/E	5.25x	9.90x	10.64x	11.98x

Investment Risks

While our investment outlook is primarily bearish, we also account for the pessimistic case of an unlikely **bull scenario**.

Risk 1: Successful Execution of Turnaround Strategy & Premium Brand Pivot

If Macy's "Bold New Chapter" Turnaround Initiative succeeds, it could boost margins and comparable sales per store, thereby benefitting overall profitability. One of the key elements in the strategy is Macy's expansion into the premium segment through Bloomingdale's & Bluemercury. Such a pivot may further insulate Macy's from the macro headwinds and leverage on the US luxury market growth potential, which has a steady growth of +3.5% year-on-year (EMarketer, 2025).

Risk 2: Potential Delay in Tariffs

Given the unpredictable nature of Trump's tariff policies – characterised by the repeated announcements and pauses, there is a possibility that the tariffs investors fear may ultimately not materialise. This would ease cost pressures on Macy's, which sources most of their products internationally. Additionally, the mixed trade policies have led to lowered US GDP forecasts and heightened recession concerns. Economists now expect the Fed to cut interest rates as early as June 2025 – a move that would likely stimulate consumer spending and benefit cyclical companies like Macy's.

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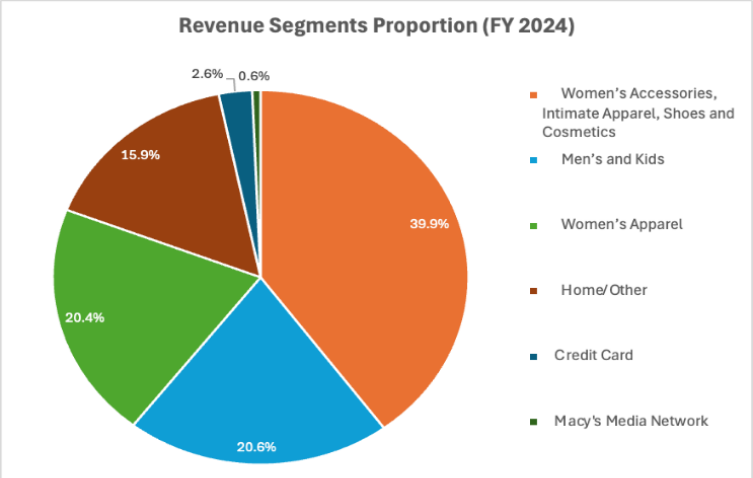
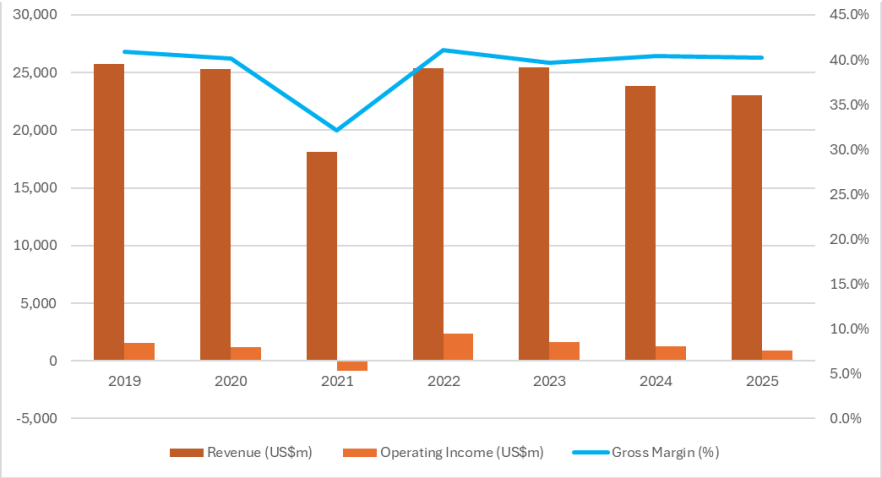
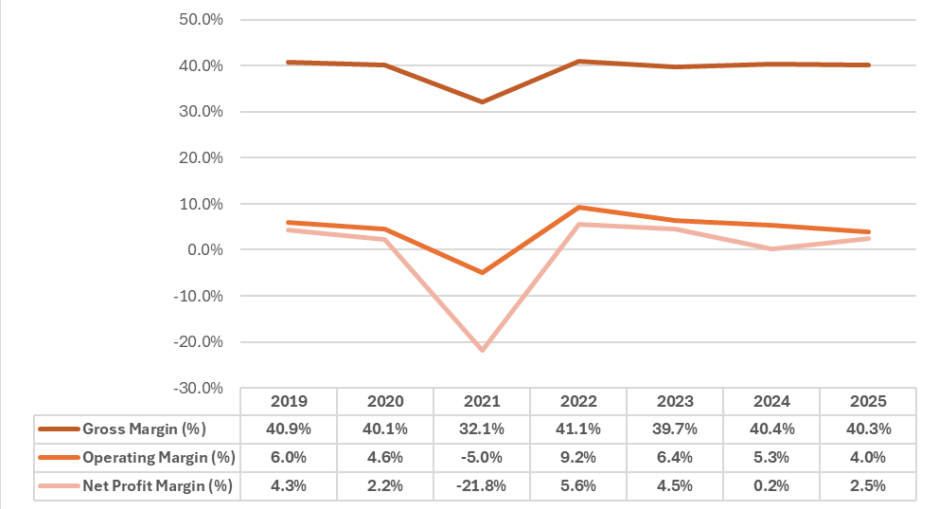
Appendix



Appendix 1: Macy's Revenue Segments Proportion in FY 2024

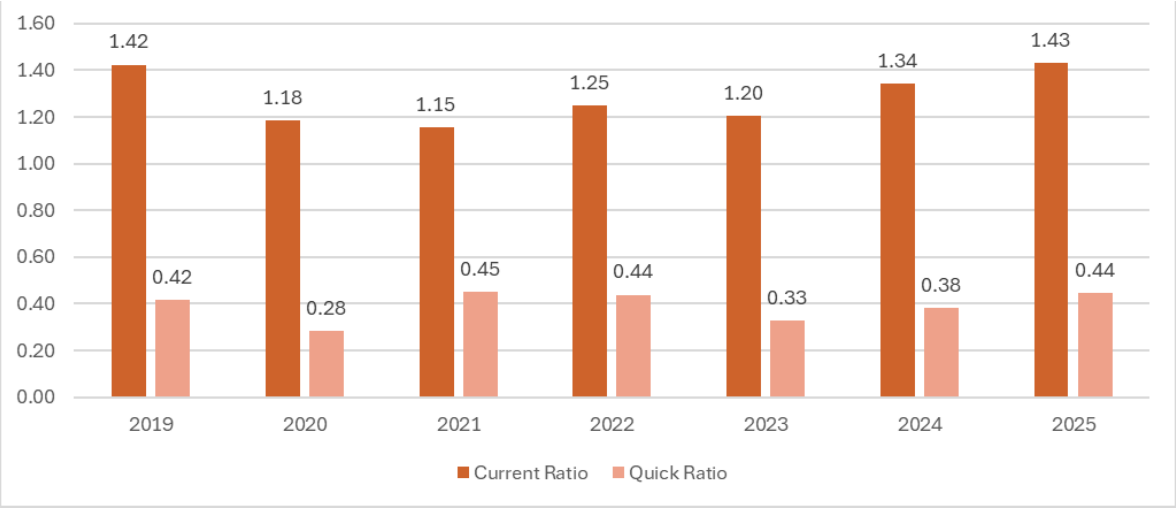


Appendix 2: Revenue, Operating Earnings & Gross Margins (2019 – 2025)

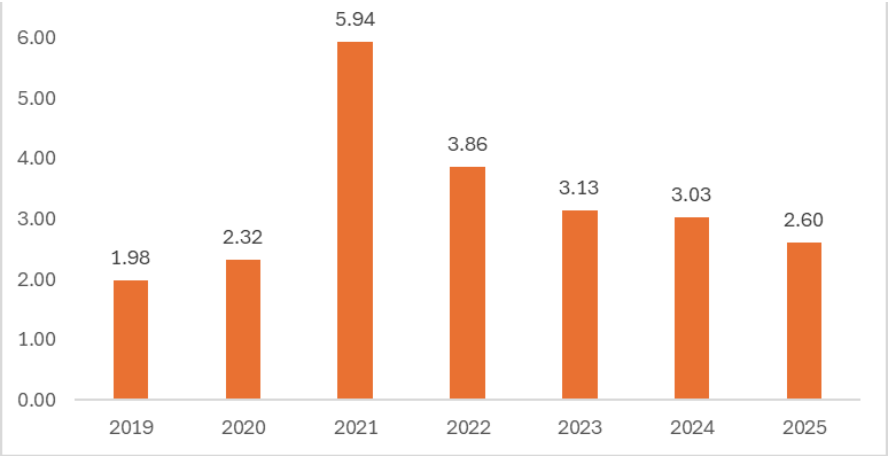


	2019	2020	2021	2022	2023	2024	2025
Gross Margin (%)	40.9%	40.1%	32.1%	41.1%	39.7%	40.4%	40.3%
Operating Margin (%)	6.0%	4.6%	-5.0%	9.2%	6.4%	5.3%	4.0%
Net Profit Margin (%)	4.3%	2.2%	-21.8%	5.6%	4.5%	0.2%	2.5%

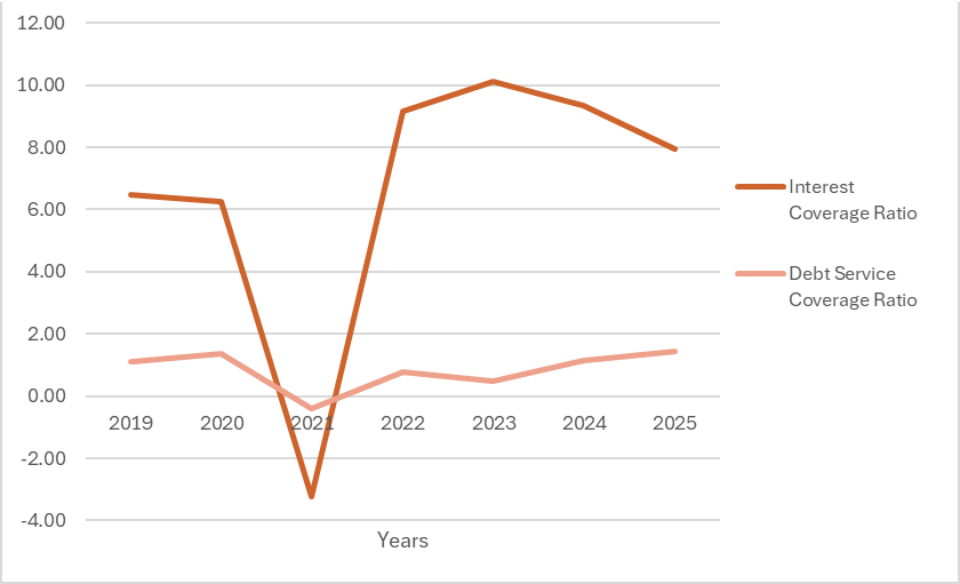
Appendix 3: Gross, Operating & Net Profit Margins (2019 – 2025)



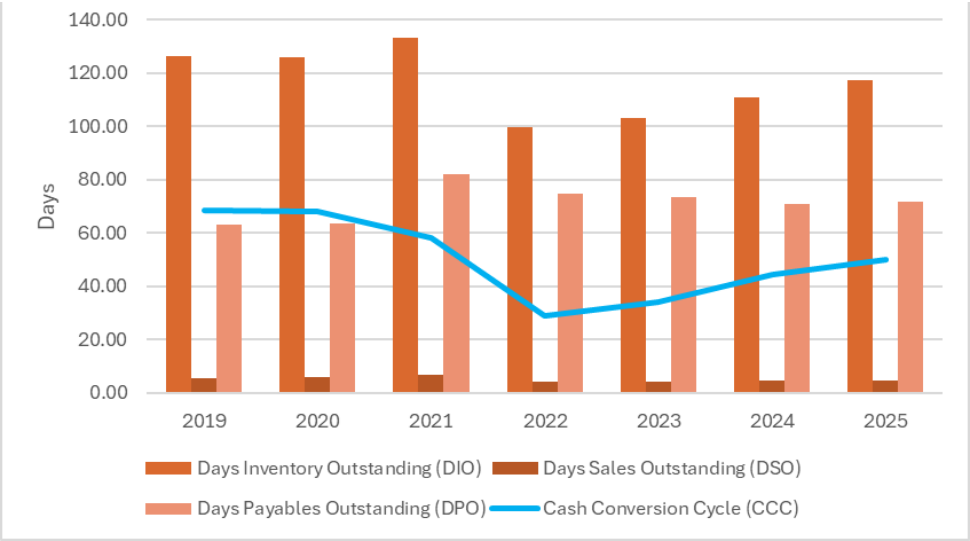
Appendix 4: Liquidity Ratios (2019 – 2025)



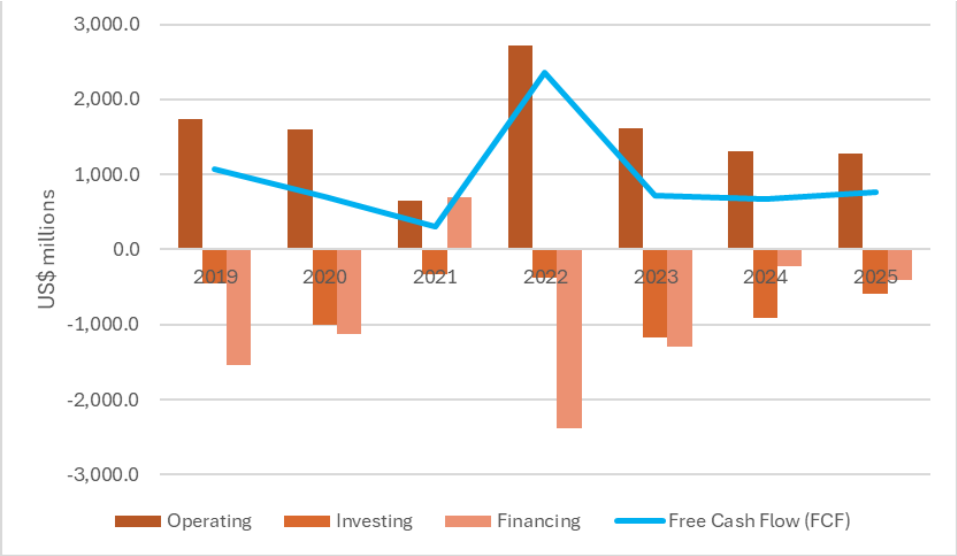
Appendix 5: Debt-to-Equity Ratios (2019 – 2025)



Appendix 6: Coverage Ratios (2019 – 2025)



Appendix 7: Working Capital Efficiency Analysis (2019 – 2025)



Appendix 8: Cash Flow Analysis (2019 – 2025)

Store 2024					
	Growth	Proportion			
MG's O+L+M	-1.30%	81.79%	-1.06%		
Blo's O+L+M	2.50%	17.68%	0.44%		
Blue's O	4.00%	0.53%	0.02%	Target	
		100.00%	-0.60%	-0.60%	TRUE

	Stores					
	2024	2025	2026	2027	2028	2029
M's Total	**450**	**400**	**350**	**350**	**350**	**350**
Blo's Total	59	67	74	74	74	74
Blu's Total	171	187	205	205	205	205
	680	654	629	629	629	629

Other Revenue Growth			
	2022	2023	2024
Simple Avg	7.24%	-23.14%	-7.88%
			-7.93%
CAGR			-8.77%
Forecast			**-8.35%**
Step			2.00%

Appendix 9: Macy's, Bloomingdale & Bluemercury Store Number & Revenue Growth Forecasts

Revenue Schedule												
For the Fiscal Period Ending	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Currency: USD mm												
Segmented Revenue												
Macy's							18,233	15,996	13,815	13,635	13,458	13,283
Bloomingdale							3,942	4,589	5,195	5,325	5,458	5,595
BlueMercury							118	134	153	159	165	172
Total Net Sales	24,971	24,560	17,346	24,460	24,442	23,092	22,293	20,719	19,163	19,119	19,081	19,049
Other Revenue	768	771	751	939	1,007	774	713	668	639	624	622	632
Other Revenue Growth %		*0.39%*	*-2.59%*	*25.03%*	*7.24%*	*-23.14%*	*-7.88%*	*-6.35%*	*-4.35%*	*-2.35%*	*-0.35%*	*1.65%*
Total Revenue (USD)	25,739	25,331	18,097	25,399	25,449	23,866	23,006	21,387	19,801	19,743	19,703	19,681
YoY Revenue Growth %		*-1.59%*	*-28.56%*	*40.35%*	*0.20%*	*-6.22%*	*-3.60%*	*-7.04%*	*-7.41%*	*-0.30%*	*-0.20%*	*-0.11%*

Cost Schedule												
For the Fiscal Period Ending	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Currency: USD mm												
Total Revenue	25,739	25,331	18,097	25,399	25,449	23,866	23,006	21,387	19,801	19,743	19,703	19,681
YoY Growth %		*-1.59%*	*-28.56%*	*40.35%*	*0.20%*	*-6.22%*	*-3.60%*	*-7.04%*	*-7.41%*	*-0.30%*	*-0.20%*	*-0.11%*
Cost of sales	(15,215)	(15,171)	(12,286)	(14,956)	(15,347)	(14,224)	(13,740)	(13,174)	(12,198)	(12,161)	(12,137)	(12,124)
COGS Margin	*59.11%*	*59.89%*	*67.89%*	*58.88%*	*60.30%*	*59.60%*	*59.72%*	*61.60%*	*61.60%*	*61.60%*	*61.60%*	*61.60%*
Gross Margin	*40.89%*	*40.11%*	*32.11%*	*41.12%*	*39.70%*	*40.40%*	*40.28%*	*38.40%*	*38.40%*	*38.40%*	*38.40%*	*38.40%*
Operating Expense												
SG&A	(9,039)	(8,998)	(6,767)	(8,154)	(8,461)	(8,375)	(8,330)	(7,667)	(7,099)	(7,078)	(7,063)	(7,055)
SG&A as a % of sales	*35.12%*	*35.52%*	*37.39%*	*32.10%*	*33.25%*	*35.09%*	*36.21%*	*35.85%*	*35.85%*	*35.85%*	*35.85%*	*35.85%*
Impairment, Restructing and other costs	(136)	(354)	(3,579)	(30)	(41)	(1,027)	(171)	(171)	(171)	(171)	(171)	(171)
Total Operating expense	(9,175)	(9,352)	(10,346)	(8,184)	(8,502)	(9,402)	(8,501)	(7,838)	(7,270)	(7,249)	(7,234)	(7,226)

Appendix 10: Base Case –Revenue and Cost Schedule

D&A													
For the Fiscal Period Ending		2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
CAPEX		657	902	338	354	888	631	518	700	800	600	500	500
% change in CAPEX			37.29%	-62.53%	4.73%	150.85%	-28.94%	-17.91%	35.14%	14.29%	-25.00%	-16.67%	0.00%
Average useful life	15												
Beginning PPE													
Beginning PPE									7,313	7,479	7,734	7,771	7,707
Additions: CAPEX									700	800	600	500	500
Additions / (subtractions) in other CAPEX									-	-	-	-	-
Depreciation of existing PPE									(488)	(499)	(516)	(518)	(514)
Depreciation of new CAPEX:													
2025E									(47)	(47)	(47)	(47)	(47)
2026E										(53)	(53)	(53)	(53)
2027E											(40)	(40)	(40)
2028E												(33)	(33)
2029E													(33)
Total depreciation of new CAPEX									(47)	(100)	(140)	(173)	(207)
Total depreciation									(534)	(545)	(562)	(565)	(560)
Closing PPE									7,479	7,734	7,771	7,707	7,646

Appendix 11: Base Case – Depreciation & Amortisation Schedule

Working Capital Schedule													
For the Fiscal Period Ending		2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Inputs													
Days in Year	365												
Total Revenue		25,739	25,331	18,097	25,399	25,449	23,866	23,006	21,164	19,379	19,111	18,859	18,622
Total COGS		(15,215)	(15,171)	(12,286)	(14,956)	(15,347)	(14,224)	(13,740)	(13,757)	(12,596)	(12,422)	(12,258)	(12,104)
Current Assets													
Accounts Recievables		400	409	276	297	300	293	303	290	260	249	240	240
Days recievable		5.67	5.89	5.57	4.27	4.30	4.48	4.81	*5.00*	*4.90*	*4.76*	*4.65*	*4.70*
Inventories		5,263	5,188	3,774	4,383	4,267	4,361	4,468	4,320	3,898	3,786	3,732	3,705
Inventories as a % of COGS		*-34.59%*	*-34.20%*	*-30.72%*	*-29.31%*	*-27.80%*	*-30.66%*	*-32.52%*	*-31.40%*	*-30.94%*	*-30.48%*	*-30.44%*	*-30.61%*
Prepaid expenses and other		583	491	455	366	424	401	385	226	207	204	202	199
Days prepaid		8.27	7.07	9.18	5.26	6.08	6.13	6.11	*6.00*	*6.00*	*6.00*	*6.00*	*6.00*
Total Current assets		**6,246**	**6,088**	**4,505**	**5,046**	**4,991**	**5,055**	**5,156**	**4,836**	**4,365**	**4,239**	**4,173**	**4,143**
Current Liabilities													
Accounts Payable		2,638	2,659	2,856	3,280	2,874	2,660	2,746	2,563	2,347	2,314	2,284	2,255
Days Payable		63	64	85	80	68	68	73	68	68	68	68	68
Accrued Expense		939	731	844	818	719	680	713	1,131	1,035	1,021	1,008	995
Days Accrued		37.9	29.7	45.5	36.6	31.0	29.6	31.2	30	30	30	30	30
Unearned Revenue (Current)		879	839	616	481	399	384	353	319	292	288	284	281
Days Unearned Revenue		12.5	12.1	12.4	6.9	5.7	5.9	5.6	5.5	5.5	5.5	5.5	5.5
Total Current Liabilities		**4,456**	**4,229**	**4,316**	**4,579**	**3,992**	**3,724**	**3,812**	**4,013**	**3,674**	**3,623**	**3,575**	**3,531**
Change in NOWC		**1,790**	**1,859**	**189**	**467**	**999**	**1,331**	**1,344**	**823**	**691**	**616**	**598**	**613**

Appendix 12: Base Case – Working Capital Schedule

Revenue Schedule												
For the Fiscal Period Ending	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Currency: USD mm												
Segmented Revenue												
Macy's							18,233	16,369	14,466	14,611	14,757	14,904
Bloomingdale							3,942	4,634	5,297	5,482	5,674	5,873
BlueMercury							118	140	163	171	179	188
Total Net Sales	24,971	24,560	17,346	24,460	24,442	23,092	22,293	21,143	19,926	20,264	20,611	20,966
Other Revenue	768	771	751	939	1,007	774	713	713	713	713	713	713
Other Revenue Growth %		*0.39%*	*-2.59%*	*25.03%*	*7.24%*	*-23.14%*	*-7.88%*	*-6.35%*	*-2.35%*	*0.65%*	*2.65%*	*4.65%*
Total Revenue (USD)	25,739	25,331	18,097	25,399	25,449	23,866	23,006	21,856	20,639	20,977	21,324	21,679
YoY Revenue Growth %		*-1.59%*	*-28.56%*	*40.35%*	*0.20%*	*-6.22%*	*-3.60%*	*-5.00%*	*-5.57%*	*1.64%*	*1.65%*	*1.67%*
Cost Schedule												
For the Fiscal Period Ending	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Currency: USD mm												
Total Revenue	25,739	25,331	18,097	25,399	25,449	23,866	23,006	21,143	19,926	20,264	20,611	20,966
YoY Growth %		*-1.59%*	*-28.56%*	*40.35%*	*0.20%*	*-6.22%*	*-3.60%*	*-8.10%*	*-5.76%*	*1.70%*	*1.71%*	*1.72%*
Cost of sales	(15,215)	(15,171)	(12,286)	(14,956)	(15,347)	(14,224)	(13,740)	(12,686)	(11,956)	(12,158)	(12,366)	(12,579)
COGS Margin	*59.11%*	*59.89%*	*67.89%*	*58.88%*	*60.30%*	*59.60%*	*59.72%*	*60.00%*	*60.00%*	*60.00%*	*60.00%*	*60.00%*
Gross Margin	*40.89%*	*40.11%*	*32.11%*	*41.12%*	*39.70%*	*40.40%*	*40.28%*	*40.00%*	*40.00%*	*40.00%*	*40.00%*	*40.00%*
Operating Expense												
SG&A	(9,039)	(8,998)	(6,767)	(8,154)	(8,461)	(8,375)	(8,330)	(7,580)	(6,944)	(6,859)	(6,770)	(6,677)
SG&A as a % of sales	*35.12%*	*35.52%*	*37.39%*	*32.10%*	*33.25%*	*35.09%*	*36.21%*	*35.85%*	*34.85%*	*33.85%*	*32.85%*	*31.85%*
Impairment, Restructing and other costs	(136)	(354)	(3,579)	(30)	(41)	(1,027)	(171)	(171)	(171)	(171)	(171)	(171)
Total Operating expense	(9,175)	(9,352)	(10,346)	(8,184)	(8,502)	(9,402)	(8,501)	(7,751)	(7,115)	(7,030)	(6,941)	(6,848)

Appendix 13: Bull Case – Revenue & Cost Schedule

Working Capital Schedule													
For the Fiscal Period Ending		2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Inputs													
Days in Year	365												
Total Revenue		25,739	25,331	18,097	25,399	25,449	23,866	23,006	21,856	20,639	20,977	21,324	21,679
Total COGS		(15,215)	(15,171)	(12,286)	(14,956)	(15,347)	(14,224)	(13,740)	(12,686)	(11,956)	(12,158)	(12,366)	(12,579)
Current Assets													
Accounts Recievables		400	409	276	297	300	293	303	329	311	316	321	327
Days recievable		5.67	5.89	5.57	4.27	4.30	4.48	4.81	*5.50*	*5.50*	*5.50*	*5.50*	*5.50*
Inventories		5,263	5,188	3,774	4,383	4,267	4,361	4,468	3,983	3,699	3,706	3,765	3,850
Inventories as a % of COGS		*-34.59%*	*-34.20%*	*-30.72%*	*-29.31%*	*-27.80%*	*-30.66%*	*-32.52%*	*-31.40%*	*-30.94%*	*-30.48%*	*-30.44%*	*-30.61%*
Prepaid expenses and other		583	491	455	366	424	401	385	213	201	204	208	211
Days prepaid		8.27	7.07	9.18	5.26	6.08	6.13	6.11	*6.13*	*6.13*	*6.13*	*6.13*	*6.13*
Total Current assets		**6,246**	**6,088**	**4,505**	**5,046**	**4,991**	**5,055**	**5,156**	**4,526**	**4,211**	**4,226**	**4,294**	**4,388**
Current Liabilities													
Accounts Payable		2,638	2,659	2,856	3,280	2,874	2,660	2,746	2,329	2,195	2,232	2,270	2,309
Days Payable		63	64	85	80	68	68	73	67	67	67	67	67
Accrued Expense		939	731	844	818	719	680	713	1,025	966	983	999	1,017
Days Accrued		37.9	29.7	45.5	36.6	31.0	29.6	31.2	29.5	29.5	29.5	29.5	29.5
Unearned Revenue (Current)		879	839	616	481	399	384	353	329	311	316	321	327
Days Unearned Revenue		12.5	12.1	12.4	6.9	5.7	5.9	5.6	5.5	5.5	5.5	5.5	5.5
Total Current Liabilities		**4,456**	**4,229**	**4,316**	**4,579**	**3,992**	**3,724**	**3,812**	**3,683**	**3,472**	**3,531**	**3,591**	**3,652**
Change in NOWC		**1,790**	**1,859**	**189**	**467**	**999**	**1,331**	**1,344**	**842**	**739**	**695**	**703**	**736**

Appendix 14: Bull Case – Working Capital Schedule

Depreciation & Amortisation Schedule													
CAPEX			657.00	902.00	338.00	354.00	888.00	631.00	700.00	800.00	800.00	800.00	800.00
% change in CAPEX			2.48	0.12	(0.33)	0.27	0.19	(0.05)	0.11	0.04	0.00	0.00	0.00
Average useful life	15												
Beginning PPE													
Beginning PPE									7613.00	7758.80	7941.55	8058.78	8114.86
Additions: CAPEX									700.00	800.00	800.00	800.00	800.00
Additions / (subtractions) in other CAPEX									0.00	0.00			
Depreciation of existing PPE									(507.53)	(517.25)	(529.44)	(537.25)	(540.99)
Depreciation of new CAPEX:													
2025E	700.00								(46.67)	(46.67)	(46.67)	(46.67)	(46.67)
2026E	800.00									(53.33)	(53.33)	(53.33)	(53.33)
2027E	800.00										(53.33)	(53.33)	(53.33)
2028E	800.00											(53.33)	(53.33)
2029E	800.00												(53.33)
Total depreciation of new CAPEX									(46.67)	(100.00)	(153.33)	(206.67)	(260.00)
Total depreciation									(554.20)	(617.25)	(682.77)	(743.92)	(800.99)
Closing PPE		USD'm	6637.00	9301.00	8818.00	8473.00	8596.00	7613.00	7758.80	7941.55	8058.78	8114.86	8113.87

Appendix 15: Bull Case – Depreciation & Amortisation Schedule

Revenue Schedule												
For the Fiscal Period Ending	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Currency: USD mm												
Segmented Revenue												
Macy's							18,233	15,834	13,536	13,225	12,921	12,624
Bloomingdale							3,942	4,544	5,094	5,171	5,248	5,327
BlueMercury							118	133	150	154	159	164
Total Net Sales	24,971	24,560	17,346	24,460	24,442	23,092	22,293	20,511	18,780	18,550	18,328	18,114
Other Revenue	768	771	751	939	1,007	774	713	653	599	561	531	508
Other Revenue Growth %		*0.39%*	*-2.59%*	*25.03%*	*7.24%*	*-23.14%*	*-7.88%*	*-8.35%*	*-8.35%*	*-6.35%*	*-5.35%*	*-4.35%*
Total Revenue (USD)	25,739	25,331	18,097	25,399	25,449	23,866	23,006	21,164	19,379	19,111	18,859	18,622
YoY Revenue Growth %		*-1.59%*	*-28.56%*	*40.35%*	*0.20%*	*-6.22%*	*-3.60%*	*-8.00%*	*-8.44%*	*-1.39%*	*-1.32%*	*-1.26%*

Cost Schedule												
For the Fiscal Period Ending	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Currency: USD mm												
Total Revenue	25,739	25,331	18,097	25,399	25,449	23,866	23,006	21,164	19,379	19,111	18,859	18,622
YoY Growth %		*-1.59%*	*-28.56%*	*40.35%*	*0.20%*	*-6.22%*	*-3.60%*	*-8.00%*	*-8.44%*	*-1.39%*	*-1.32%*	*-1.26%*
Cost of sales	(15,215)	(15,171)	(12,286)	(14,956)	(15,347)	(14,224)	(13,740)	(13,757)	(12,596)	(12,422)	(12,258)	(12,104)
COGS Margin	*59.11%*	*59.89%*	*67.89%*	*58.88%*	*60.30%*	*59.60%*	*59.72%*	*65.00%*	*65.00%*	*65.00%*	*65.00%*	*65.00%*
Gross Margin	*40.89%*	*40.11%*	*32.11%*	*41.12%*	*39.70%*	*40.40%*	*40.28%*	*35.00%*	*35.00%*	*35.00%*	*35.00%*	*35.00%*
Operating Expense												
SG&A	(9,039)	(8,998)	(6,767)	(8,154)	(8,461)	(8,375)	(8,330)	(7,587)	(6,753)	(6,469)	(6,195)	(5,931)
SG&A as a % of sales	*35.12%*	*35.52%*	*37.39%*	*32.10%*	*33.25%*	*35.09%*	*36.21%*	*35.85%*	*34.85%*	*33.85%*	*32.85%*	*31.85%*
Impairment, Restructing and other costs	(136)	(354)	(3,579)	(30)	(41)	(1,027)	(171)	(171)	(171)	(171)	(171)	(171)
Total Operating expense	(9,175)	(9,352)	(10,346)	(8,184)	(8,502)	(9,402)	(8,501)	(7,758)	(6,924)	(6,640)	(6,366)	(6,102)

Appendix 16: Bear Case – Revenue and Cost Schedule

Working Capital Schedule													
For the Fiscal Period Ending		2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Inputs													
Days in Year	365												
Total Revenue		25,739	25,331	18,097	25,399	25,449	23,866	23,006	21,164	19,379	19,111	18,859	18,622
Total COGS		(15,215)	(15,171)	(12,286)	(14,956)	(15,347)	(14,224)	(13,740)	(13,757)	(12,596)	(12,422)	(12,258)	(12,104)
Current Assets													
Accounts Recievables		400	409	276	297	300	293	303	290	260	249	240	240
Days recievable		5.67	5.89	5.57	4.27	4.30	4.48	4.81	*5.00*	*4.90*	*4.76*	*4.65*	*4.70*
Inventories		5,263	5,188	3,774	4,383	4,267	4,361	4,468	4,320	3,898	3,786	3,732	3,705
Inventories as a % of COGS		*-34.59%*	*-34.20%*	*-30.72%*	*-29.31%*	*-27.80%*	*-30.66%*	*-32.52%*	*-31.40%*	*-30.94%*	*-30.48%*	*-30.44%*	*-30.61%*
Prepaid expenses and other		583	491	455	366	424	401	385	226	207	204	202	199
Days prepaid		8.27	7.07	9.18	5.26	6.08	6.13	6.11	*6.00*	*6.00*	*6.00*	*6.00*	*6.00*
Total Current assets		**6,246**	**6,088**	**4,505**	**5,046**	**4,991**	**5,055**	**5,156**	**4,836**	**4,365**	**4,239**	**4,173**	**4,143**
Current Liabilities													
Accounts Payable		2,638	2,659	2,856	3,280	2,874	2,660	2,746	2,563	2,347	2,314	2,284	2,255
Days Payable		63	64	85	80	68	68	73	68	68	68	68	68
Accrued Expense		939	731	844	818	719	680	713	1,131	1,035	1,021	1,008	995
Days Accrued		37.9	29.7	45.5	36.6	31.0	29.6	31.2	30	30	30	30	30
Unearned Revenue (Current)		879	839	616	481	399	384	353	319	292	288	284	281
Days Unearned Revenue		12.5	12.1	12.4	6.9	5.7	5.9	5.6	5.5	5.5	5.5	5.5	5.5
Total Current Liabilities		**4,456**	**4,229**	**4,316**	**4,579**	**3,992**	**3,724**	**3,812**	**4,013**	**3,674**	**3,623**	**3,575**	**3,531**
Change in NOWC		**1,790**	**1,859**	**189**	**467**	**999**	**1,331**	**1,344**	**823**	**691**	**616**	**598**	**613**

Appendix 17: Bear Case – Working Capital Schedule

Depreciation & Amortisation Schedule														
CAPEX			657.00	902.00	338.00	354.00	888.00	631.00	700.00	750.00	800.00	800.00	800.00
% change in CAPEX			2.48	0.12	(0.33)	0.27	0.19	(0.05)	0.11	0.04	0.00	0.00	0.00
Average useful life	15												
Beginning PPE													
Beginning PPE									7613.00	7758.80	7941.55	8058.78	8114.86
Additions: CAPEX									700.00	800.00	800.00	800.00	800.00
Additions / (subtractions) in other CAPEX									0.00	0.00			
Depreciation of existing PPE									(507.53)	(517.25)	(529.44)	(537.25)	(540.99)
Depreciation of new CAPEX:													
2025E	700.00								(46.67)	(46.67)	(46.67)	(46.67)	(46.67)
2026E	800.00									(53.33)	(53.33)	(53.33)	(53.33)
2027E	800.00										(53.33)	(53.33)	(53.33)
2028E	800.00											(53.33)	(53.33)
2029E	800.00												(53.33)
Total depreciation of new CAPEX									(46.67)	(100.00)	(153.33)	(206.67)	(260.00)
Total depreciation									(554.20)	(617.25)	(682.77)	(743.92)	(800.99)
Closing PPE		USD'm	6637.00	9301.00	8818.00	8473.00	8596.00	7613.00	7758.80	7941.55	8058.78	8114.86	8113.87

Appendix 18: Bear Case – Depreciation & Amortisation Schedule

BULL							
Free Cash Flow (FCF)							
		2026	**2027**	**2028**	**2029**	**2030**	**Term**
Assumptions		**12/31/2026**	**12/31/2027**	**12/31/2028**	**12/31/2029**	**12/31/2030**	**12/31/2031**
Valuation date	1/4/2025						
Terminal Growth	2.70%						
WACC	7.02%						
FCFF							
EBIT		1,533.62	1,682.32	1,902.39	2,129.84	2,364.94	
Tax on EBIT		373.74	409.98	463.61	519.04	576.34	
Tax rate		24.37%	24.37%	24.37%	24.37%	24.37%	
NOPAT		1,159.87	1,272.34	1,438.78	1,610.80	1,788.60	
Depreciation and amortisation		(534.20)	(545.25)	(562.24)	(564.75)	(560.44)	
CAPEX		700.00	800.00	600.00	500.00	500.00	
Change in net working capital		842.44	739.43	695.46	703.12	735.68	
Free Cash Flow to Firm (FCFF)		**2,168.12**	**2,266.51**	**2,172.00**	**2,249.16**	**2,463.85**	**2,530.37**
Unadjusted Cash Flow							
Discrete forecast		2,168.12	2,266.51	2,172.00	2,249.16	2,463.85	
Terminal value						36,066.11	
Total Cash Flow		**2,168.12**	**2,266.51**	**2,172.00**	**2,249.16**	**38,529.96**	
Discounted Cash Flow							
Years for discounting		1.99	2.99	3.99	4.99	5.99	
Discrete forecast		2,168.12	2,266.51	2,172.00	2,249.16	2,463.85	
Terminal value						24,024.50	
Discounted Cash Flow		**2,168.12**	**2,266.51**	**2,172.00**	**2,249.16**	**26,488.35**	
Total NPV		**35,344.14**					

Appendix 19: Bull Case – Free Cash Flow Projections

BEAR							
Free Cash Flow (FCF)							
		2026	**2027**	**2028**	**2029**	**2030**	**Term**
Assumptions		**12/31/2026**	**12/31/2027**	**12/31/2028**	**12/31/2029**	**12/31/2030**	**12/31/2031**
Valuation date	1/4/2025						
Terminal Growth	2.70%						
WACC	7.02%						
FCFF							
EBIT		(236.66)	(27.71)	162.99	348.68	529.80	
Tax on EBIT		(57.67)	(6.75)	39.72	84.97	129.11	
Tax rate		24.37%	24.37%	24.37%	24.37%	24.37%	
NOPAT		(178.98)	(20.96)	123.27	263.70	400.69	
Depreciation and amortisation		(534.20)	(545.25)	(562.24)	(564.75)	(560.44)	
CAPEX		700.00	800.00	600.00	500.00	500.00	
Change in net working capital		822.97	691.00	616.27	598.00	612.93	
Free Cash Flow to Firm (FCFF)		**809.78**	**924.79**	**777.31**	**796.95**	**953.18**	**978.91**
Unadjusted Cash Flow							
Discrete forecast		809.78	924.79	777.31	796.95	953.18	
Terminal value						13,952.71	
Total Cash Flow		**809.78**	**924.79**	**777.31**	**796.95**	**14,905.89**	
Discounted Cash Flow							
Years for discounting		1.99	2.99	3.99	4.99	5.99	
Discrete forecast		809.78	924.79	777.31	796.95	953.18	
Terminal value						9,294.24	
Discounted Cash Flow		**809.78**	**924.79**	**777.31**	**796.95**	**10,247.41**	
Total NPV		**13,556.24**					

Appendix 20: Bear Case – Free Cash Flow Projections

Discounted Cash Flow Total Valuatior	Perpetuity Method
Total of Present Value of Cash Flows	5,769
Present Value of Terminal Value	10,559
Total Enterprise Value	16,328
Net Debt, Non-controlling interests, preferred s	(1,034)
Equity Value	17,362
Share Count (millions)	2,779
Estimated Equity Value per Share	**6.25**

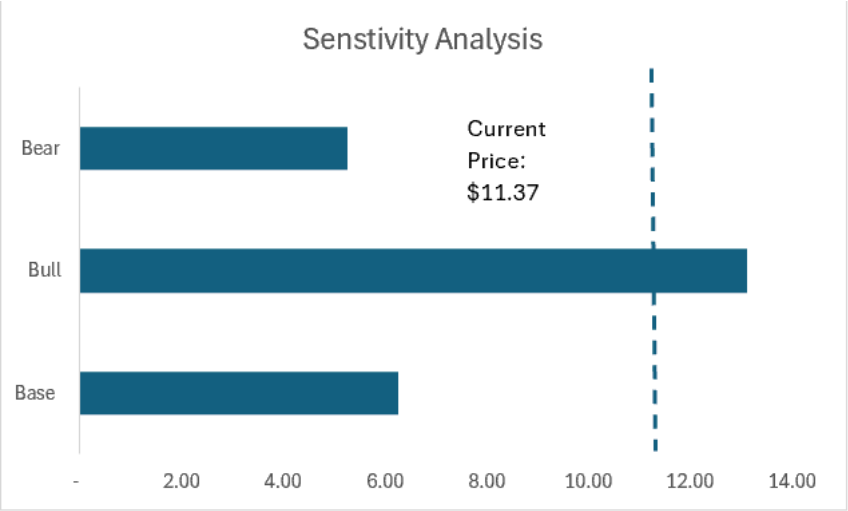
Appendix 21: Base Case DCF (Constant Growth Model)

Discounted Cash Flow Total Valuatior	Perpetuity Method
Total of Present Value of Cash Flows	11,320
Present Value of Terminal Value	24,025
Total Enterprise Value	35,344
Net Debt, Non-controlling interests, preferred s	(1,034)
Equity Value	36,378
Share Count (millions)	2,777
Estimated Equity Value per Share	**13.10**

Appendix 22: Bull Case DCF (Constant growth model)

Discounted Cash Flow Total Valuatior	Perpetuity Method
Total of Present Value of Cash Flows	4,262
Present Value of Terminal Value	9,294
Total Enterprise Value	13,556
Net Debt, Non-controlling interests, preferred s	(1,034)
Equity Value	14,590
Share Count (millions)	2,777
Estimated Equity Value per Share	**5.25**

Appendix 23: Bear Case DCF (Constant growth mode)



Appendix 24: Sensitivity Analysis across Base, Bull & Bear Cases